

AMENDED AND RESTATED OPERATING AGREEMENT

OF

SELL YOUR HOME, LLC

This Amended and Restated Operating Agreement is entered into on this ____ day of June, 2025, by and among the persons executing this Agreement as Members, or their representatives, on the following terms and conditions.

WHEREAS, the Company was formed pursuant to the Articles of Organization, which were filed with the North Carolina Secretary of State on _____ [Date], which Articles remain effective to the present; and

WHEREAS, the Members of the Company entered into an Operating Agreement, dated _____, and the persons or representatives executing this Agreement as Members now wish to amend and restate such agreement in its entirety to reflect a change in the titling and ownership of the various members, specifically: Quest Trust Company FBO Wesley Dale Browning HSA #3417971 is being replaced by Heritage IRA FBO Wesley Dale Browning HSA #_____; Quest Trust Company FBO Wesley Dale Browning Roth IRA #3417921 is being replaced by Heritage IRA FBO Wesley Dale Browning Roth IRA #_____; and Quest Trust Company FBO Jeanette W. Hollinger Roth IRA #3419521 is being replaced by Heritage IRA FBO Jeanette W. Hollinger Roth IRA #_____;

NOW THEREFORE, in consideration of the premises and of the covenants and agreements hereinafter set forth and for other good and valuable consideration, the receipt and adequacy of which are hereby acknowledged, the parties hereto agree to this Amended and Restated Operating Agreement of Sell Your Home, LLC.

ARTICLE 1

Offices and Records

1.1 Registered Office and Registered Agent. The registered office and the registered agent of **Sell Your Home, LLC** (the “Company”) in the State of North Carolina shall be determined from time to time by the Manager(s) of the Company. The address of the registered office and the name of the registered agent shall be on file in the office of the North Carolina Secretary of State. If the resident agent is an individual, such agent shall be a North Carolina resident.

1.2 Principal Place of Business. The Company’s principal place of business in the State of North Carolina shall be 4621 Thurmount Place, Raleigh, NC 27604, or such other place as may be designated from time to time by the Manager(s) of the Company.

1.3 Other Offices. The Company may also maintain other offices at such places within or without the State of North Carolina as the Manager(s) may from time to time appoint as the business of the Company may require.

1.4 Records. The company shall keep correct and complete books and records of account, including the amount of its assets and liabilities, minutes of the meetings of the Members and Manager(s),

a list of the names and places of residence of the Manager(s), a list of the names of the Members and their addresses and required Membership Unit records. The Company shall keep at its principal place of business in Raleigh, North Carolina, the Membership Unit records and Capital Account records of its Members as provided in Section 2.3 and Section 7.2 of this Operating Agreement. The Company shall also prepare or keep from time to time such other or additional records and information as may be required by law.

1.5 Inspection of Books. Any Member, upon written demand addressed to the Manager(s) at the Company's principal place of business, shall have the right during the usual hours for business to inspect the Company's Operating Agreement, Membership Unit records, list of its Members, books of account, records of proceedings of the Members and Manager(s) and the Company's other books and records, and to make copies or extracts from the records. No Member shall use or permit to be used or acquiesce in the use by others of any information so obtained to the detriment of the Company, nor shall such Member furnish or permit to be furnished any information so obtained to any competitor or prospective competitor of the Company. The Company, as a condition of any Member's inspection of the books of the Company, may require the Member to indemnify the Company against any loss or damage which may be suffered by it arising out of any authorized disclosure made or permitted to be made by such Member of information obtained in the course of such inspection.

1.6 Scope of Business and Company Opportunities. The Company shall be exclusively in the business of **investing in residential real estate for the purpose of rental income generation and long-term capital appreciation**, unless and until a change is approved by the Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement). Members and Account Holders of Members (as defined in Section 3.7 of this Operating Agreement) may invest, either directly or indirectly, in other real estate without being deemed to be usurping Company opportunities, provided such activity does not materially harm the Company or its operations.

ARTICLE 2

Membership Units

2.1 Membership Units Authorized. Upon full payment of the Consideration, the Company may initially issue certificates in the form determined by the Manager(s) for one hundred (100) Membership Units to the persons/entities named in the attached Exhibit "A", which is incorporated herein by reference. The number of Membership Units received by each person/entity and the Consideration contributed by each person/entity in exchange for the Membership Units and its Agreed Value are set out in Exhibit "A" across from each person's/entity's name. The Membership Units represent the interest each Member owns in the Company.

2.2 Description of the Membership Units.

(a) Voting Rights. A Member shall be entitled to one vote for each Membership Unit of the Company (or a respective fractional vote for each fraction of the Membership Unit held by a Member) which is registered in the Member's name on the books of the Company, except such Membership Units as shall have been transferred without the unanimous consent of the Members shall not be entitled to a vote as described in Section 3.4 hereof.

(b) Additional Membership Units. Except for the Membership Units originally subscribed, no additional Membership Units shall be issued by the Company unless such issuance has been approved by Members holding the required percentage of Membership Units for “Major Decisions” (as defined in Section 5.2(b) of this Operating Agreement) and with the consent of those Members required by law to approve the issuance of additional Membership Units.

(c) Restrictions on a Transfer of Membership Units. Transfer of all Membership Units of the Company shall be restricted by the provisions contained in Article 3 of this Operating Agreement, unless such restrictions have terminated, expired or have otherwise been removed.

2.3 Membership Unit Records. The Company shall maintain Membership Unit records which indicate the number of Membership Units issued, the name and address of the Member to whom issued, the date of issue, the number of Membership Units paid and by whom paid, and the transfer of such Membership Units with the date of transfer. The Member in whose name Membership Units stand on the Membership Units records shall be deemed to be the owner of such Membership Units for all purposes regarding the Company, except as otherwise required by law and except as otherwise provided in this Operating Agreement; and the Membership Unit records shall be the only evidence as to who are the Members entitled to vote in person or by proxy at any meeting of the Members.

2.4 Record Date. In order that the Company may determine the Members entitled to (a) notice of any meeting, (b) vote at any meeting of Members or any adjournment thereof, (c) express consent to Company action in writing without a meeting, (d) receive payment of any distribution (e) exercise any rights in respect of any change, conversion or exchange of Membership Units or for the Purpose of any other lawful action, the Manager(s) may fix, in advance, a record date, which shall not be more than sixty (60) nor less than ten (10) days before the date of such meeting, nor more than sixty (60) days prior to any other action.

If no record date is fixed:

(a) The record date for determining Members entitled to notice of or to vote at a meeting of Members shall be at the close of business on the day preceding the day on which notice is given or, if notice is waived, at the close of business on the day preceding the day on which the meeting is held.

(b) The record date for determining Members entitled to express consent to Company action in writing without meeting, when no prior action by the Manager(s) is necessary, shall be the day on which the first written consent is expressed.

(c) The record date for determining Members for any other purpose shall be at the close of business on the day on which the first written consent is expressed.

A determination of Members of record entitled to notice of or to vote at a meeting of Members shall apply to any adjournment of the meeting, except that the Manager(s) may fix a new record date for the adjourned meeting.

2.5 Consideration for Issuance of Membership Units. Subscriptions to, or the purchase price of, the Membership Units of the Company shall be paid for by cash, by real property, or by promissory

note or other obligation to pay cash to the Company, as determined by the Manager(s). The Membership Units so issued shall be declared and taken to be fully paid Membership Units.

2.6 Issuance and Repurchase of Membership Units. The Manager(s) are expressly empowered to fix and determine:

- (a) the consideration to be received by the Company for each new Membership Unit without regard for the consideration paid for any other Membership Unit;
- (b) the method of payment and type of property to be accepted as subsequent contribution of capital;
- (c) the disposition of Membership Units that have been repurchased and the consideration therefore; and
- (d) all similar or related matters;

provided that any concurrent action required by law or this Operating Agreement to be taken by the Members is duly taken.

2.7 Power of the Manager(s). The Manager(s) shall have the power and authority to make all such rules and regulations as they may deem expedient concerning the issuance, transfer, conversion and registration of certificates for Membership Units of the Company not consistent with any law, the Articles of Organization, or this Operating Agreement.

ARTICLE 3

Buy-Sell Rights, New Members and Restrictions Upon Transfer of Membership Units

3.1 Transfer of Member's Rights Without Consent. The Membership Unit of a Member in the Company may not be transferred or assigned in any manner voluntarily or involuntarily without the unanimous written consent of the other Members of the Company then entitled to be treated as Members and to vote hereunder. Any attempt to transfer, assign, pledge, or encumber in any manner all or any part of a Member's Membership Units in the Company without such prior consent of the other Members shall be void and of no effect as it relates to the transferee, except that the transferee shall be entitled to receive the share of profits or income and any liquidating distribution or return of capital to which the transferring Member would otherwise be entitled. In the event of a transfer without consent as required by the Act and in violation of the Operating Agreement, the transferee shall not become a Member hereunder, and the Membership Units involved thereafter shall be subject to the restrictions contained in Section 3.4 unless and until the transferee agrees to be bound by the provisions of the Articles of Organization and this Operating Agreement and the Members unanimously consent to the transfer and admission of the transferee as a Member.

3.2 Transfer of Control of a Member. The voluntary or involuntary transfer of controlling interest in a Member which is not a natural person shall be deemed to be a transfer of Member's rights

without consent as described in Section 3.1. For the purposes of this Section 3.2, the term “controlling interest” means, with respect to a corporation, the right to exercise, directly or indirectly, more than fifty percent (50%) of the voting rights in any class of stock of the controlled corporation, and with respect to any individual, general or limited partnership, limited liability company, trust or other entity or association, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of the controlled entity.

3.3 Consequences of Wrongful Transfer or Withdrawal.

(a) No Member shall resign or withdraw from the Company without the prior consent of all the Members.

(b) If a Member shall transfer or attempt to transfer the Member’s Membership Units or shall resign or withdraw from the Company or shall be deemed by law or this Operating Agreement to have transferred the Member’s Membership Units or to have resigned or withdrawn from the Company in violation of the Operating Agreement:

(i) such Member shall thereupon cease to be a Member of the Company, and any Membership Unit which was not so transferred shall thereupon be converted into a Transferor’s Membership Unit. Thereafter, such former Member shall have no right or interest in the Company except such right or interest as a transferee would have with respect to such Membership Units; and

(ii) such Member shall be liable to the Company and the other Members and transferees for damages caused by such wrongful transfer, resignation, or withdrawal.

3.4 Status of Transferee. No transferee of a Member’s Membership Units shall have any right to vote the transferred Membership Units or any right or authority to interfere in the management or administration of the Company’s business or affairs, or to require any information or account of Company transactions, or to inspect the Company’s books, or to act for or bind the Company, or to otherwise have any right of a Member; except such transferee shall have the right to receive, to the extent transferred, such Member’s interest in and right to the Company’s profits, losses, capital, and distributions as set out in this Operating Agreement.

3.4 Additional Members. Upon the unanimous consent of all Members, any person (including, without limitation, to a transferee) may be admitted to the Company as an additional Member upon such terms and conditions as the Members and the proposed new Member shall mutually agree.

3.6 Buy-Sell Rights on Sale. In the event a Member desires to sell all or any portion of the Member’s Membership Units without the prior written consent of all the Members, then such Member or the Member’s legal representation (sometimes hereinafter referred to as the “Seller”) may sell the same only after offering it to the Company and other Members as follows:

(a) Notice and Offer. Seller shall serve notice in writing upon each Manager and the other Members by U.S. certified mail (prepaid, return receipt requested) stating that Seller has a bona fide offer for the purchase of Seller’s Membership Units, the number of Membership Units to be sold, the name and address of the prospective purchaser (the “Prospective Purchaser”), the date of such offer, and the sales price and other terms of the offer. Said notice shall also contain

an offer to sell the subject Membership Units upon the same terms and conditions as set forth by the Prospective Purchaser; provided that, the price for sale to the Company or to the other Members shall be the lesser of the Prospective Purchaser's offer price or the price to be paid under the provisions of Section 3.8 or 3.9.

(b) Acceptance by the Remaining Parties. For a period of thirty (30) days following the receipt of such notice by the last of the Members, the Company shall have the right and option to purchase the Membership Units so offered for sale by Seller under the terms and conditions described in Section 3.6(d). If the Company fails to exercise its right and option granted hereunder or refuses to act, then any of remaining Members shall have the right and option to purchase such Membership Units on the same terms and conditions within an additional thirty (30) day period after the expiration of the Company's option to purchase. If two or more of the remaining Members desire to exercise their option to purchase the Membership Units offered for sale, each such Member will be entitled to purchase a pro rata share of the Membership Units offered for sale based on the ratio that each acquiring Member's Membership Units bear to the total aggregate Membership Units of all acquiring Members, unless otherwise agreed to by the purchasing Members.

(c) Disposition to Prospective Purchaser. In the event that neither the Company nor the other Members exercise the option to purchase as provided for herein, then the Seller shall be free to dispose of Seller's Membership Units so offered to the Prospective Purchaser in accordance with the Prospective Purchaser's offer as noticed to the Members; provided however, that Seller must close the sale of Seller's subject Membership Units within sixty (60) days of the termination of the rights and option granted the Company and the other Members hereunder, and further provided that unless agreed to by all the remaining Members who were offered the Membership Units of Seller, Seller Transferee shall be subject to the restrictions contained in Section 3.4.

(d) Payment and Closing by Parties. Unless expressly agreed to in writing to the contrary, the method of payment is Seller's Membership Units that are purchased by the Company or the remaining Members shall be as follows:

(i) If the value of the Membership Units being sold is less than or equal to \$50,000.00, then such Membership Units shall be paid for within one year of closing.

(ii) If the value of the Membership Units being sold is more than \$50,000.00 but less than or equal to \$250,000.00, then such Membership Units shall be paid for within five years of closing.

(iii) If the value of the Membership Units being sold is greater than \$250,000.00, then such Membership Units shall be paid for within eight years of closing.

The closing of the purchase and sale of the Membership Units shall take place within ninety (90) days of acceptance by the Company or the remaining Members. In the event that the sale price for the Membership Units being sold is not paid in full at closing, the sale price for the Membership Units being sold hereunder shall bear a fixed annual rate of interest commencing to accrue from the date of closing at the Wall Street Journal's Prime Lending Rate for the most recently published edition of the Wall Street Journal, defined as being "the base rate on corporate loans at large U.S. money center commercial banks."

In the event that the Wall Street Journal ceases to be published, or ceases to publish the prime lending rate, then the Company shall establish and use a "Prime Lending Rate" which closely approximates "the base rate on corporate loans at large U.S. money center commercial banks." Seller shall be entitled to a security interest in the Membership Units being sold hereunder until fully paid. Payment shall be made to Seller no less often than annually and shall be in an amount which will fully amortize the sales price over the relevant period.

3.7 Buy-Sell Rights After Death or Disability of Member or Account Holder. In the event a Member who is a natural person or any Account Holder of a Member which is not a natural person dies or becomes permanently and totally disabled, the Company shall have the right, but not the obligation, for ninety (90) days following the date of death or permanent and total disability of a Member who is a natural person or any Account Holder of a Member which is not a natural person to purchase the Member's Membership Units. The price to be paid by the Company for the Member's Membership Units shall be determined as described in Sections 3.8, 3.9 and 3.10, and the payment and closing shall take place as described in Section 3.6(d). For purposes of Article 3, the term "Account Holder" shall mean that beneficial owner of the Individual Retirement Account or Health Savings Account or the Responsible Individual in a Coverdell Education Savings Account which is a Member of the Company.

3.8 Calculation of Book Value. Membership Units sold under this Article shall be at Book Value unless otherwise stated or provided for. The term "Book Value" shall mean the consolidated value of each unit of Membership Units as reflected in the books of account of the Company as determined by the Company's accountant, as hereinafter provided, with the following adjustments, except as otherwise specified. Such adjustments shall be applied as an increase (or decrease) as specified in items (a) through (e) below in the value of each "Book Value" item as carried on the books of account of the Company:

(a) All real estate shall be appraised and valued at the fair market value thereof as of the end of the fiscal quarter immediately preceding the terminating event hereunder. All promissory notes shall be valued based upon either unpaid principal balance or current market, depending upon the circumstances involving each note.

(b) All machinery, fixtures, and equipment shall be appraised as of the end of the fiscal quarter immediately preceding the terminating event hereunder.

(c) Inventory of merchandise and supplies shall be based on physical count and computed at cost or market value, whichever is the lesser.

(d) All unpaid and accrued taxes shall be deducted as liabilities.

(e) The amount of net earnings or losses, as the case may be, per Membership Units of the Company during the period from the start of the subject fiscal year in which a terminating event occurs to the fiscal quarter immediately preceding the terminating event.

3.9 Agreed Value. In lieu of Book Value, "Agreed Value" may be used to determine the unit value of Membership Units hereunder. The term "Agreed Value" means the value of each unit as set forth in a Certificate of Agreed Value signed by each Member and filed with the Company. In no event shall a Certificate of Agreed Value be effective unless signed by all the Members and unless it was executed within one (1) year of the last of the Members to sign. The Members may execute a new Certificate of Agreed Value at any time.

3.10 Determination of Book Value. The Book Value of the Company shall be determined by the Company's accountant, or if the Company does not have an accountant, the Company shall select one to determine the Book Value. If such Book Value is unsatisfactory with the Seller or its representative, then such party may select an accountant at its own cost and expense to work with the Company's accountant to arrive at a Book Value for each Membership Unit in any of the classes of Membership Units subject to sale at such time. If such accountants determine the Book Value within five percent (5%) of each other, then the average of the book values shall be deemed the Book Value for all purposes hereunder, which determination of Book Value shall be valid and binding upon all parties hereunder. If the two accountants cannot agree on a Book Value within Five Percent (5%) of each other, then such accountants shall select a third accountant, who, acting alone, shall determine the Book Value of each Membership Unit subject to this Operating Agreement, which determination shall be valid and binding on all parties and their personal representatives.

ARTICLE 4

Meetings of Members

4.1 Place and Manner of Meetings. All meetings of the Members shall be held at such time and place, within or without the State of North Carolina, as shall be stated in the notice of the meeting or in a duly executed waiver of notice. Members may participate in such meetings by means of conference telephone or similar communication equipment by means of which all persons participating in the meeting can communicate with each other. Participation in a meeting as provided in this section shall constitute presence in person at such meeting, except where a person participates in the meeting for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

4.2 Time of Meetings.

(a) Annual Meetings. An annual meeting of Members shall be held on the second Monday of January of each year commencing after the close of the first fiscal year of the Company. Such Meeting shall be held for the purpose of electing the Manager(s) and such other business as may come before the meeting. The Manager(s) may, but are not required to, provide the Members with notice of the meeting. If the annual meeting is not held on the date above specified, or if the election of Manager(s) is not held on the that date, the Manager(s) shall cause a special meeting of the Members in lieu thereof to be held as soon thereafter as convenient, and any business transacted or election held at that meeting shall be as valid as if held at the annual meeting. Failure to hold the annual meeting at the designated time shall not cause the dissolution of the Company.

(b) Special Meetings. Special meetings of the Members may be called at any time by the Manager(s) or by Members holding Membership Units having an aggregate of at least 50% of the voting power of the Company.

4.3 Members' Action by Consent in Lieu of Meeting. Any action required by law to be taken at any annual or special meeting of Members, or any action which may be taken at a meeting of Members, may be taken without a meeting, without prior notice and without a vote, if a consent in writing setting forth the action so taken is signed by all the Members holding Membership Units entitled to vote with respect to the subject matter thereof. Such consents shall have the same force and effect as the number of

Membership Units voting at a meeting duly held, and the Secretary shall file such consents with the minutes of the meetings of the Members.

4.4 Notice of Meetings.

(a) Notice Required. Whenever Members are required or permitted to take any action at a meeting and the optional procedure of Section 4.3 above is not followed, a written notice of the meeting, stating the place, date, and hour of the meeting and, in case of a special meeting, the purpose or purposes for which the meeting is called, shall be given not less than ten (10) nor more than sixty (60) days before the date of the meeting by giving notice to the Members either personally or by mail. When a meeting is adjourned to another time or place, notice of the adjourned meeting need not be given if the time and place thereof are announced at the meeting at which the adjournment is taken. In the case of a Member which is a corporation, limited liability company, general or limited partnership, trust, or other non-individual, notice shall be effective if mailed or delivered to the address and the person last designated in the Company's records for receiving such notice. For any notice required by this paragraph, if notice is delivered by mail, it shall be deemed to be delivered when deposited in the United States mail with postage thereon prepaid, addressed to the Member at the Member's address as it appears on the records of the Company. If notice is delivered in person, it may be delivered by any Manager, or by any reputable courier service giving written evidence of delivery.

(b) Waiver of Notice. Any notice required to be given by any provision of the Operating Agreement, the Articles of Organization, or any law may be waived in writing signed by the person entitled to such notice, whether before, at or after the time stated herein, and such waiver of notice of such meeting, except when the person attends a meeting for the express purpose of objecting, at the beginning of the meeting, to the transaction of any business because the meeting is not lawfully called or convened.

4.5 Presiding officials. Each meeting of the Members shall be convened by any Manager, or if a Manager fails or refuses to do so, by any of the persons who legitimately called the meeting by giving notice as above provided, but the meeting shall be presided over by one of the Manager(s) of the Company.

4.6 Business Which May Be Transacted at Meetings.

(a) Annual Meetings. At each annual meeting of the Members, the Members shall elect the Manager(s) to hold office until their successors are elected and qualified, and they may transact any other proper business as may be desired, whether or not the same was specified in the notice of the meeting, unless prohibited by law.

(b) Special Meetings. Special meetings may be called for any purpose or purposes, but business transacted at any special meeting shall be confined to the purposes stated in the notice of such meeting, unless the transaction of other business is consented to by all the Members of the Company.

4.7 Quorum; Decision of Members. Except as may otherwise be provided by the Articles of Organization, Members present at the meeting, in person or by proxy, holding a majority of the total Membership Units in the Company entitled to vote at any meeting of the Members shall constitute a

quorum. With respect to that matter, when a quorum is present at any meeting, the vote of the holders of a majority of the Membership Units present at the meeting, in person or represented by proxy, having voting power with respect to that matter, shall decide such matter brought before the meeting, unless the matter is one on which, by express provision of the Articles of Organization or this Operating Agreement, or by express provision of the Act, as amended from time to time, which is applicable to such vote, a different vote is required, in which case such express provisions shall govern and control the decision of the matter. The Members present at a duly organized meeting may continue to transact business until adjournment, notwithstanding the withdrawal of enough Members to leave less than a quorum. If a quorum is not present at any meeting, the Members present shall have the right successively to adjourn the meeting to a specified date not longer than 60 days after such adjournment. At such adjourned meeting at which a quorum is present, any business may be transacted which might have been transacted at the meeting which was adjourned without further notice.

4.8 Method of Voting Proxies. At a meeting of the Members, each Member shall be entitled to vote or to express his or her written consent or dissent in person or by proxy executed in writing by such Member. No proxy shall be voted or acted upon after one (1) year from the date of its execution.

4.9 Cumulative Voting. Cumulative voting in the election of Manager(s) of the Company shall not be permitted.

4.10 Members Entitled to Vote; Voting Rights of Fiduciaries, Pledgors and Joint Owners. All Members shall be entitled to vote at meetings or to express consent to Company action in writing unless otherwise restricted by the Articles of Organization, this Operating Agreement, or by the Act. The right to vote any Membership Unit which was previously entitled to vote may be prohibited thereafter by Article 3 hereof.

Membership Units held by a pension trust, profit sharing trust, individual retirement account, health savings account or an education savings account which is an original member of this Company or is a transferee which has received unanimous consent to become a Member as provided in Section 3.1 hereof, may be voted by the participant for whose benefit the trust or account has been established, or, in the case of an education savings account, by the Responsible Individual for that account, until the Company receives notice from the fiduciary that (1) the participant has died or become incapacitated, (2) someone other than the participant is claiming an ownership interest in such Membership Units, or (3) the fiduciary is asserting the right to vote the Membership Units. At such time, the Membership Units shall be deemed to have been transferred, and the provisions of Article 3 shall apply.

Membership Units held by a Member which is not a natural person (other than Membership Units held by a pension trust, profit sharing trust, individual retirement account, health savings account or an education savings account as stated in the preceding paragraph) shall be voted by an individual or individuals designated in writing by the Member to the Company. In the case of an original Member, the individual or individuals signing this Operating Agreement shall be deemed to be entitled to vote the Member's interest until the Company is notified otherwise in writing.

Persons whose Membership Units are pledged shall be entitled to vote unless, in the transfer by the pledger on the books of the Company, the pledger has expressly empowered the pledgee to vote thereon, in which case only the pledgee or his proxy may represent such Membership Units and vote thereon; provided, in all cases the prior unanimous consent of the other Members shall be required before

any right to vote the said Membership Units or any right of Membership other than an interest in profits or losses may be transferred to non-Members either as pledgees or outright transferees.

If Membership Units stand of record in the names of two or more persons, whether members of a partnership, joint tenants, tenants in common, tenants by the entirety or otherwise, or if two or more persons have the same fiduciary relationship respecting the same Membership Units, unless the Manager(s) of the Company are given written notice to the contrary and are furnished with a copy of the instrument or order appointing them or creating the relationship wherein it is so provided, their acts with respect to voting shall have the following effect:

- (a) If only one votes, his or her act binds all.
- (b) If more than one votes, the act of the majority so voting binds all.
- (c) If more than one votes, but the vote is evenly split on any particular matter, each fraction may vote the Membership Units in question proportionally.

If the instrument filed with the Manager(s) show that any such tenancy is held in unequal interests, a majority or even-split for the purposes of subsections (b) and (c) of section 4.10 shall mean a majority or even-split in interest and not a majority or even-split in number.

4.11 Ownership of Membership Units. The Company shall be entitled to treat the holder of any Membership Unit of the Company, as recorded on the Membership Unit record or transfer books of the Company, as the holder of record and holder and owner in fact thereof; and, accordingly, the Company shall not be required to recognize any equitable or other claim to or interest in such Membership Unit on the part of any other person, firm, partnership, company or association, whether or not the Company shall have express or other notice thereof, except as is otherwise expressly required by law. The Membership Unit ledger shall be the only evidence as to who are the Members entitled to examine the Membership Unit ledger, the Member list required under Section 4.12 of the Operating Agreement, or the books of the Company, or to vote in person or by proxy at any meeting of the Members. The term “Member” as used in this Operating Agreement means a holder of record of a Membership Unit of the Company who is an original Member or who has been approved by all of the then Members for admission as a Member.

4.12 Member List and Membership Unit Record. If any Member makes a request in writing to any Manager at least fourteen (14) days prior to any meeting of Members, the Person receiving such request shall prepare or cause to be prepared a complete list of the Members entitled to vote at the meeting, arranged in alphabetical order and showing the address of each Member and the Membership Units registered in the name of each Member. Such list shall be open to the examination of any Member for any purpose germane to the meeting, during ordinary business hours, for a period of at least ten (10) days prior to the meeting, either at a place within the city where the meeting is to be held, which place shall be specified in the notice of the meeting or, if not so specified, at the place where the meeting is to be held. The list shall also be produced and kept at the time and place of the meeting during the whole time thereof and may be inspected by any Member who is present.

ARTICLE 5

Manager(s)

5.1 **Manager(s) – Number and Tenure.** Initially, the Company shall have one (1) Manager, Jessica Santa Cruz, who is named in the Articles of Organization and who shall serve until the first annual meeting of the Members or until a Manager's earlier resignation or removal. At each annual meeting, the Members shall elect the Manager to serve until the next annual meeting. The number of Managers may only be increased or decreased by the approval of Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement).

A Manager need not be a Member or a holder of a Membership Unit.

Each Manager shall hold office until such Manager's successor is elected and qualified or until such Manager's earlier resignation or removal. The attendance of any Manager at any regular or special meeting of the Managers or such Manager's written approval of the minutes of any such meeting shall constitute acceptance of the office of Manager.

Unless otherwise agreed to by the approval of Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement), a Manager shall not be the Account Holder of a Member (as defined in Section 3.7 of the Operating Agreement) or any other disqualified person (as defined in Internal Revenue Code §4975) to the Member.

It is expressly understood and agreed by all parties in this Operating Agreement that the following individuals (who may be commonly referred to as "account holders"), Wesley D. Browning and Jeanette W. Hollinger, will have no signature authority, operational responsibility, or the authority to bind this entity to any contract or agreement, nor will the Company be operated in such a way as to permit any of these individual(s) to have unfettered access or control over any of the Company's assets.

5.2 **Powers of the Manager(s).**

(a) **Generally.** The business and affairs of the Company shall be managed by the Manager(s), who shall have all powers and authority to do or cause to be done any and all lawful things for and on behalf of the Company, to exercise or cause to be exercised any or all of its powers, privileges and franchises, and to seek the effectuation of its objects and purposes, except as may be otherwise provided by law, in the Articles of Organization, or as otherwise provided in this Operating Agreement.

(b) **Approval by the Members for Certain "Major Decisions".** Notwithstanding any other provisions of this Operating Agreement, no decision may be made, sum expended, nor obligation incurred by the Company or the Manager(s) with respect to a matter within the scope of any of the "Major Decisions" enumerated below unless such decision has been approved by Members holding at least seventy-five percent (75%) of the Membership Units entitled to vote. Such decisions are:

(i) Acquisition of any partnership interest, Membership Unit, stock or assets of any business.

(ii) Acquisition financing or refinancing of the stock or assets of a business to be acquired.

(iii) The single expenditure of more than \$10,000.00 in any fiscal year for acquisition of capital assets or to make capital improvements.

(iv) Borrowing a sum of more than \$10,000.00 in any fiscal year for acquisition of any single capital asset or any single capital improvement by the Company.

(v) Any other decision or action which is required by the provisions of law, the Articles of Organization or this Operating Agreement to be approved by the Members requiring more than a simple majority.

(vi) The sale or transfer of any real estate owned by the Company or the transfer of all or substantially all of the assets of the Company.

(vii) Any proposal to issue additional Membership Units, or grant any option or rights therein, or issuance of any Membership Units or debt instruments convertible into Membership Units.

(viii) Any amendment to this Operating Agreement or the Articles of Organization.

(ix) Removal of a Manager.

(x) Any increase or decrease in the number of Manager(s).

(xi) Any increase in capital.

(xii) Any change in the scope of business of the Company as defined in Section 1.6 of this Operating Agreement.

(c) Definition of “Approved by the Members”. When the phrase “Approved by the Members” is used in this Operating Agreement, or the Articles of Organization or by law, unless the provision clearly requires a greater vote, such phrase shall mean approved by Members who hold a majority of the total Membership Units in the Company entitled to vote.

5.3 Regular Meetings. A regular meeting by the Manager(s) may be held without notice other than this Operating Agreement immediately after and at the same place as the annual meeting of the Members. A regular meeting of the Manager(s) may also be held at such time and place as may be determined from time to time by resolution of the Manager(s). Any business may be transacted at a regular meeting of the Manager(s).

5.4 Special Meetings. Special meetings of the Manager(s) may be called by or at the request of any Manager, by giving or delivering written notice of such meeting to each Manager at least three (3) days, not counting Sundays and legal holidays, before the day on which the meeting is to be held, either personally or by facsimile, or six (6) days, not counting Sundays and legal holidays, before the day on which the meeting is to be held, if sent by mail, stating the place, day and hour of the meeting and the purpose or purposes for which it is called. The person or persons calling the special meeting may fix the

place, either within or without the State of North Carolina, as a place for holding the meeting. If notice is given by mail, it shall be deemed to be delivered when deposited in the United States mail with postage thereon prepaid, addressed to the Manager at his residence or usual place of business. If notice is given by facsimile, it shall be deemed to be delivered when it is sent by facsimile if the sender has written evidence of the transmission. If notice is delivered in person, it may be delivered by any Manager or by any reputable courier service giving written evidence of delivery.

5.5 Place and Manner of Meetings. All meetings of the Manager(s) shall be held at such time and place, within or without the State of North Carolina, as shall be stated in the notice of the meeting or in a duly executed waiver of notice. Manager(s) may participate in such meetings by means of conference telephone or similar communications equipment by which all persons participating in the meeting can communicate with each other. Participation in a meeting as provided in this section shall constitute presence in person at such meeting, except where a person participates in the meeting for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

5.6 Action by Consent in Lieu of Meeting. Any action which is required to be or which may be taken at a meeting of the Manager(s) may be taken without a meeting if the Manager(s) severally or collectively consent thereto in writing and the writing or writings are filed with the minutes of the meeting of the Manager(s).

5.7 Quorum. A majority of the total number of Manager(s) shall, unless a greater number is required by the Articles of Organization or this Operating Agreement or by law, constitute a quorum for the transaction of business. The vote of a majority of the Manager(s) present at any meeting at which a quorum is present shall be the act of the Manager(s), unless otherwise specifically provided by the law, the Articles of Organization or this Operating Agreement. The Manager(s) present at a duly organized meeting may continue to transact business until adjournment, notwithstanding the withdrawal of enough Manager(s) to leave less than a quorum. If a quorum is not present at any meeting, the Manager(s) present shall have the right successively to adjourn the meeting to a specified date not longer than 60 days after such adjournment. At such adjourned meeting at which a quorum is present, any business may be transacted which might have been transacted at the meeting which was adjourned without further notice.

5.8 Waiver. Any notice required to be given to a Manager by any provision of the Operating Agreement, the Articles of Organization or any law may be waived in writing signed by such Manager, whether before or after the time stated therein, and such waiver shall be deemed equivalent to notice. Attendance of a Manager at any meeting shall constitute a waiver of notice of such meeting, except where such Manager attends the meeting for the express purpose, and so states at the opening of the meeting, of objecting to the transaction of any business because the meeting is not lawfully called or convened. Neither the business to be transacted nor the purpose of any meeting of the Manager(s) needs to be specified in any written waiver of notice unless so required by the Articles of Organization.

5.9 Deadlock Provision. If the number of Manager(s) is even, and if the Manager(s) become deadlocked on any required vote, then the Manager(s) shall agree to appoint a Manager Pro Tem who shall have the power and authority to cast the deciding vote. If the Manager(s) are unable to agree on a Manager Pro Tem, then each Manager shall name a representative, and the representatives shall appoint the Manager Pro Tem. Any Manager Pro Tem, for the purposes of this paragraph, shall be an impartial party with no financial interest in the Company or with any of the Manager(s).

5.10 Vacancies; Election of New Manager(s). In the event of a vacancy occurring among one or more of the Manager(s) due to death, resignation, removal or any other reason, or in the event a Manager becomes incapacitated or incompetent as certified by his family physician or another physician designated by the remaining Manager(s), the office shall be declared vacant. Any vacancy occurring in the Manager(s) may be filled by the vote of a majority of the remaining Manager(s), though not less than a quorum of the Manager(s), unless there is only one Manager, in which event the Manager position shall be filled by election at an annual meeting or at a special meeting of Members called for the purpose. Any Manager position to be filled by reason of an increase in the number of Manager(s) shall be filled by election at an annual meeting or at a special meeting of Members called for that purpose.

5.11 Compensation of Manager(s). Manager(s) who are not also employees may be compensated for their services as such, but such compensation must be approved by Members holding the required percentage of Membership Units for “Major Decisions” (as defined in Section 5.2(b) of this Operating Agreement). Nothing herein contained shall, however, be construed to preclude any Manager from serving the Company in any other capacity and receiving compensation for such services as an employee if approved by the Manager(s).

Notwithstanding the foregoing, no Manager who is the Account Holder of a Member (as defined in Section 3.7 of this Operating Agreement) or any other disqualified person (as defined in Internal Revenue Code §4975) to the Member shall be entitled to any compensation for his or her services as a Manager or in any other capacity.

5.12 Financial Interests of Manager(s) in Company Transactions. No contract or transaction between the Company and one or more of its Manager(s), or between the Company and any other limited liability company, corporation, partnership, association or other organization in which one or more of its Manager(s) are Manager(s), directors, officers, or have a financial interest, shall be void or voidable solely for the reason or solely because the Manager is present at or participates in the meeting of the Manager(s) which authorized the contract or transaction or solely because the Manager’s vote is counted for such purpose, if:

(a) The material facts as to such person’s relationship or interest and as to the contract or transaction are disclosed or are known to the Manager(s), and the Manager(s) in good faith authorize the contract or transaction by the affirmative vote of a majority of the disinterested Manager(s), even though the disinterested Manager(s) be less than a quorum; or

(b) The material facts as to such person’s relationship or interest and as to the contract or transaction are disclosed or are known to the Members entitled to vote thereon, and the contract or transaction is specially approved in good faith by vote of the Members; and

(c) The contract or transaction is fair as to the Company as of the time it is authorized, approved or ratified by the Manager(s) or the Members

Interested Manager(s) may be counted in determining the presence of a quorum at a meeting of the Manager(s) which authorized the contract or transaction.

Notwithstanding the foregoing, no contract or transaction described in this Article 5.12 may be approved by the Manager(s) or Members if entering into the contract or transaction would be a prohibited transaction as described in §4975 of the Internal Revenue Code.

ARTICLE 6

Indemnification

6.1 **Definitions.** For purposes of this Article 6:

(a) “Limited Liability Company” includes any domestic or foreign predecessor entity of the Company in a merger, consolidation, or other transaction in which the liabilities of the predecessor are transferred to the Company by operation of law and in any other transaction in which the Company assumes the liabilities of the predecessor but does not specifically exclude liabilities that are the subject matter of this Article.

(b) “Manager” includes any person who is or was a Manager of the Company and any person who, while a Manager of the Company, is or was serving at the request of the Company as a Manager, officer, partner, joint venture, proprietor, trustee, employee, agent, or similar functionary of another foreign or domestic limited liability company, corporation, partnership, joint venture, sole proprietorship, trust, employee benefit plan, or other enterprise.

(c) “Expenses” include court costs and attorney’s fees.

(d) “Official Capacity” means:

(i) when used with respect to a Manager, the office of Manager in the Company; and

(ii) When used with respect to a person other than a Manager, the elective or appointed office in the Company held by the officer or the employment or agency relationship undertaken by the employee or agent on behalf of the Company; provided, however, that in each case described in paragraphs (i) and (ii) of this Subsection (d), “Official Capacity” does not include service for any other foreign or domestic limited liability company, corporation, or any partnership, joint venture, sole proprietorship, trust, employee benefit plan, or other enterprise.

(e) “Proceeding” means any threatened, pending, or completed action, suit, or proceeding, whether civil, criminal, administrative, arbitative, or investigative, any appeal in such an action, suit, or proceeding, and any inquiry or investigation that could lead to such an action, or proceeding.

6.2 **Standard for Indemnification.** The Company shall indemnify a person who was, is, or is threatened to be made a named defendant or respondent in a proceeding because the person is or was a Manager of the Company only if it is determined in accordance with this Article that the person:

(a) conducted himself or herself in good faith;

(b) reasonably believed:

(i) in the case of conduct in his or her official capacity as a Manager of the Company, that his or her conduct was in the Company’s best interest; or

(ii) in all other cases, that his or her conduct was at least not opposed to the Company's best interest; and

(c) in the case of any criminal proceeding, had no reasonable cause to believe his or her conduct was unlawful.

6.3 Prohibited Indemnification. Except to the extent permitted by this Article, a Manager may not be indemnified under any section of this Article with respect to a proceeding:

(a) in which the person is found liable on the basis that personal benefit was improperly received by him or her, whether or not the benefit resulted from an action taken in the person's official capacity; or

(b) in which the person is found liable to the Company for willful or intentional misconduct in the performance of such person's duty to the Company.

6.4 Effect of Termination of Proceeding. The termination of a proceeding by judgment, order, settlement, or conviction, or on a plea of nolo contendere or its equivalent is not of itself determinative that the person did not meet the requirements set forth in any section of this Article. A person shall be deemed to have been found liable in respect of any claim, issue or matter only after the person shall have been so adjudged by a court of competent jurisdiction after exhaustion of all appeals therefrom.

6.5 Extent of Indemnification. If indemnification is applicable under this Article, a person shall be indemnified against judgments, penalties (including excise and similar taxes), fines, settlements, and reasonable expenses actually incurred by the person in connection with the proceeding.

6.6 Determination of Indemnification. A determination of indemnification under any section of this Article must be made:

(a) by a majority vote of a quorum consisting of Manager(s) who at the time of the vote are not named defendants or respondents in the proceeding;

(b) if such a quorum cannot be obtained, by a majority vote of a committee of the Manager(s), designated to act in the matter by a majority vote of all Managers, consisting solely of two or more Manager(s) who at the time of the vote are not named defendants or respondents in the proceeding; or

(c) by a special legal counsel selected by the Manager(s) or a committee of the Manager(s) by vote as set forth in Subsections (a) and (b) of this Section, or if such a quorum cannot be obtained and such a committee cannot be established, by a vote of Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement).

Notwithstanding anything else in this Articles, no indemnification described in this Article 6 may be approved by the Manager(s) or Members if approving the indemnification would be a prohibited transaction as described in §4975 of the Internal Revenue Code.

6.7 Authorization of Indemnification. Authorization of indemnification and determination as to reasonableness of expenses must be made in the same manner as the determination that indemnification is permissible, except that (i) if the determination that indemnification is permissible is made by special legal counsel, authorization of indemnification and determination as to reasonableness of expenses must be made in the manner specified by the foregoing section for the selection of special legal counsel, and (ii) the provision of this Article making indemnification mandatory in certain cases specified herein shall be deemed to constitute authorization in the manner specified by this Section of indemnification in such cases.

6.8 Successful Defense of Proceedings. Except as provided otherwise by law or by this Operating Agreement, the Company shall indemnify a Manager against reasonable expenses incurred by him or her in connection with a proceeding in which he or she is a named defendant or respondent because he or she is or was a Manager if he or she has been wholly successful, on the merits or otherwise, in the defense of the proceeding.

6.9 Court Order in Suit for Indemnification. If, in a suit for indemnification required by the foregoing Section, a court of competent jurisdiction determines that the Manager is entitled to indemnification under that section, the court shall order indemnification and shall award to the Manager the expenses incurred in securing the indemnification.

6.10 Court Determination of Indemnification. If, upon application of a Manager, a court of competent jurisdiction determines, after giving any notice the court considers necessary, that the Manager is fairly and reasonably entitled to indemnification in view of all the relevant circumstances, whether or not the Manager has met the requirements set forth in any Section of this Article or has been found liable in the circumstances described in any Section of this Article, the court may order the indemnification that the court determines is proper and equitable; but, if the Manager is found liable to the Company or is found liable on the basis that personal benefit was improperly received by the Manager, the indemnification shall be limited to reasonable expenses actually incurred by the Manager in connection with the proceeding.

6.11 Advancement of Expenses. Reasonable expenses incurred by a Manager who was, is, or is threatened to be made a named defendant or respondent in a proceeding shall be paid or reimbursed by the Company in advance of the final disposition of the proceeding, without the authorization or determination specified in this Article, after the Company receives a written affirmation by the Manager of his or her good faith belief that he or she has met the standard of conduct necessary for indemnification under this Article and a written undertaking, which must be an unlimited general obligation of the Manager (and can be accepted without reference to financial ability to make payment) but need not be secured, made by or on behalf of the Manager to repay the amount paid or reimbursed if it is ultimately determined that he or she has not met that standard or it is ultimately determined that indemnification of the Manager against expenses incurred by him or her in connection with that proceeding is prohibited by this Article. A provision contained in the Articles of Organization, this Operating Agreement, a resolution of Members or Manager(s), or an agreement that makes mandatory the payment or reimbursement permitted under this Section shall be deemed to constitute authorization of that payment or reimbursement.

6.12 Expenses as Witness. Notwithstanding any other provision of this Article, the Company may pay or reimburse expenses incurred by a successor Manager in connection with his or her appearance

as a witness or other participation in a proceeding at a time when he or she is not a named defendant or respondent in the proceeding given that such appearance or participation occurs by reason of his or her being or having been a Manager of the Company.

6.13 Indemnification of Other Persons. The Company may indemnify and advance expenses to any person who is not or was not an employee or agent of the Company but who is or was serving at the request of the Company as a manager, director, officer, partner, joint venture, proprietor, trustee, employee, agent, or similar functionary of another foreign or domestic limited liability company, corporation, partnership, joint venture, sole proprietorship, trust, employee benefits plan or other enterprise to the same extent that it shall indemnify and advance expenses of Manager(s) under this Article.

6.14 Advancement of Expenses to Other Persons. The Company may indemnify and advance expenses to an employee or agent of the Company, or other person who is identified in the foregoing Section and who is not a Manager, to such further extent as such person may be entitled by law, agreement, vote of the Manager(s) and Members or otherwise.

6.15 Continuation of Indemnification. The indemnification and advance payments provided by this Article shall continue as to a person who has ceased to hold his or her position as a Manager, employee or agent, or other person described in any section of this Article, and shall inure to his or her heirs, executors and administrators.

6.16 Liability Insurance. The Company may purchase and maintain insurance or another arrangement on behalf of any person who is or was a Manager, employee or agent of the Company or who is or was a manager, director, officer, partner, joint venture, proprietor, trustee, employee, agent, or similar functionary of another foreign or domestic limited liability company, corporation, partnership, joint venture, sole proprietorship, trust, employee benefit plan or other enterprise, against any liability asserted against the person and incurred by the person in such a capacity or arising out of his or her status as such a person, whether or not the Company would have the power to indemnify him or her against that liability under this Article. If the insurance or other arrangement is with a person or entity that is not regularly engaged in the business of providing insurance coverage, the insurance or arrangement may provide for payment of a liability with respect to which the Company would not have the power to indemnify the person only if including coverage for the additional liability has been approved by the Members of the Company. Without limiting the power of the Company to procure or maintain any kind of insurance or other arrangement, the Company may, for the benefit of persons indemnified by the Company, (i) create a trust fund; (ii) establish any form of self-insurance; (iii) secure its indemnity obligation by grant of a security interest or other lien on the assets of the Company; or (iv) establish a letter of credit, guaranty, or surety arrangement. The insurance or other arrangement may be procured, maintained, or established within the Company or with any insurer or other person deemed appropriate by the Manager(s) regardless of whether all or part of the stock or other securities of the insurer or other person are owned in whole or part by the Company. In the absence of fraud, the judgment of the Manager(s) as to the terms and conditions of the insurance or other arrangement and the identity of the insurer or other person participating in an arrangement shall be conclusive, and the insurance or arrangement shall not be avoidable and shall not subject the Manager(s) approving the insurance or arrangement to liability, on any ground, regardless of whether Manager(s) participating in the approval are beneficiaries of the insurance or arrangement.

6.17 Report to Members. Any indemnification of or advance of expenses to a Manager in accordance with this Article shall be reported in writing to the Members with or before the notice or waiver of notice of the next Members' meeting or with or before the next submission to Members of a consent to action without a meeting, and, in any case, within the twelve (12) month period immediately following the date of the indemnification or advance.

6.18 Service to Employee Benefit Plan. For purposes of this Article, the Company is deemed to have requested a Manager to serve an employee benefit plan whenever the performance by him or her of his or her duties to the Company also imposes duties on or otherwise involves services by him or her to the plan or participants or beneficiaries of the plan. Excise taxes assessed on a Manager with respect to an employee benefit plan pursuant to applicable law are deemed fines. Action taken or omitted by him or her with respect to an employee benefit plan in the performance of his or her duties for a purpose reasonably believed by him or her to be in the interest of the participants and beneficiaries of the plan is deemed to be for a purpose which is not opposed to the best interests of the Company.

ARTICLE 7

Fiscal Matters

7.1 Allocation of Profits and Losses. For purposes of computing and maintaining Capital Accounts, and for federal income tax purposes, each item of Company income, gain, loss and deduction shall be allocated among the Members and transferees holding Membership Units pro rata in accordance with the ratio that such Member's or transferee's respective aggregate Membership Units bears to the total aggregate Membership Units issued by the Company.

7.2 Capital Accounts of the Members.

(a) The initial Capital Contribution of each Member is as set forth on Exhibit "A". No interest will be paid on any Capital Contribution.

(b) An individual capital account (the "Capital Account") must be established and maintained on behalf of each Member, including any additional Member or transferee who hereafter receives a Membership Unit in the Company. The Capital Account of each Member consists of (i) the amount of cash the Member has contributed to the Company, plus (ii) the agreed fair market value of any property the Member has contributed to the Company, less any liabilities assumed by the Company or to which the property is subject, plus (iii) the amount of profits or income (including tax-exempt income or non-taxable life insurance proceeds or any other non-taxable revenue allocated to the Member, less (iv) the amount of losses and deductions allocated to the Member, less (v) the amount of all cash distributed to the Member, less (vi) the fair market value of any property distributed to the Member, net of any liability assumed by the Member or to which the property is subject, less (vii) the Member's share of any other expenditures that are not deductible by the Company for federal income tax purposes or which are not allowable as additions to the basis of Company property, and (viii) subject to other adjustments that may be required under the Internal Revenue Code. The Capital Account of a Member is not affected by adjustments to basis made pursuant to Section 743 of the Code but must be adjusted with respect to adjustments to basis made pursuant Section 734 of the Code.

(c) No Member may withdraw the Member's Capital Contribution or demand and receive property of the Company or a distribution in return for the Member's Capital Contribution, except as may be specifically provided in this Operating Agreement or required by law. No Member may receive out of Company property any part of the Member's Capital Contribution until (i) all liabilities of the Company, except liabilities to Members on account of their loans, have been paid or sufficient Company property remains to pay them, and (ii) all Members consent, unless the return of the Contribution to Capital is rightfully demanded as provided in the Act.

(d) Subject to the provisions of subsection (c) of this section, a Member may rightfully demand the return of the Member's Capital Contribution (i) on the dissolution of the Company, or (ii) as may otherwise be provided in the Act. A Member may demand and receive only cash in return for the Member's Capital Contribution.

(e) Except as is specifically provided otherwise in this Operating Agreement or in the Act, no Member has any liability or obligation to restore a negative or deficit balance in such Member's Capital Account.

7.3 Additional Capital. Additional capital may not be contributed to the Company absent a clear written, private letter ruling from the Internal Revenue Service indicating that such contribution would not constitute a prohibited transaction among disqualified parties. In such instance, additional capital may be contributed to the Company when approved by the Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement), and as long as all capital contributions are on a pro rata basis based upon the percentages of membership. Furthermore, loans or services by a Member to the Company shall not be permitted, as they would constitute a prohibited transaction pursuant to 26 U.S.C. 4975.

7.4 Distributions and Reserves.

(a) Declaration and Payment. Subject to the Act and the Articles of Organization, distributions to the Members may be authorized by the Manager(s) at any regular or special meeting and made by the Company. Distributions may be paid in cash or in property of the Company. The authorization and payment of distributions shall be at the discretion of the Manager(s).

(b) Limitation on Distribution. The Company may not make a distribution to its Members to the extent that, immediately after giving effect to the distribution, all liabilities of the Company, other than liabilities to Members with respect to their interests and liabilities for which the recourse of creditors is limited to specified property of the Company, exceed the fair value of the Company assets, except that the fair value of property that is subject to a liability for which recourse of creditors is limited shall be included in the Company assets only to the extent that the fair value of that property exceeds that liability.

(c) Reserves. By resolution the Manager(s) may create such reserve or reserves out of the surplus of the Company or designate or allocate any part or all of the surplus of the Company in any manner for any proper purpose or purposes, and may increase, decrease or abolish any such reserve, designation or allocation in the same manner.

7.5 Fiscal Year. The Company's fiscal year shall be the calendar year unless and until such change of action is approved by the Manager(s) and the Internal Revenue Service.

7.6 Deposits. All funds of the Company shall be deposited from time to time to the credit of the Company in such banks, trust companies or other depositories as the Manager(s) may select.

7.7 Checks, Drafts, Etc. All checks, drafts or other orders for payment of money, notes or other evidence of indebtedness issued in the name of or payable to the Company shall be signed or endorsed by a Manager or Managers or such other person or persons as the Manager(s) may from time to time designate.

7.8 Reimbursement of Manager(s) and Members. Manager(s) and Members shall receive reimbursement for expenses reasonably incurred in the performance of their duties.

7.9 Limitation of Liability. No Member is liable under a judgment, decree or order of the court, or in any other manner, for a debt, obligation or liability of the Company, except as provided by law. No Member is required to loan any funds to the Company. Except as may be expressly provided otherwise in this Operating Agreement, no Member is required to make any contribution to the Company be reason of any negative balance in the Member's capital account, not does any negative balance in a Member's capital account create any liability on the part of the Member to any third party.

7.10 No Responsibility for Member's Liability. In the event a Member (or a Member's shareholders, partners, members, owners, or affiliates) has incurred any indebtedness or obligation prior to the date hereof that relates to or otherwise affects the Company, neither the Company nor any other Member has any liability or responsibility with respect to the indebtedness or obligation unless the indebtedness or obligation is assumed by the Company pursuant to a written instrument signed by all Members. Furthermore, neither the Company nor any Member is responsible or liable for any indebtedness or obligation that is hereafter incurred by any other Member (or Member's shareholders, partner, members, owners, affiliates). In the event a Member (or Member's shareholders, partners, members, owners, or affiliates (collectively, the "Liable Member"), whether prior to or after the date of this Operating Agreement, incurs (or has incurred) any debt or obligation that neither the Company nor any of the other Members is to have any responsibility or liability for, the Liable Member must indemnify and hold harmless the Company and the other Members from any liability or obligation they may incur as a result.

7.11 Company as Pass-Through Entity. The Company shall be classified, for federal income tax purposes, as a pass-through entity, either as a disregarded entity if there is only a single Member or as a partnership if there are multiple Members. The Manager(s) shall not take any actions or make any tax filings or declarations that would change the Company's classification to anything other than a pass-through entity.

ARTICLE 8

Dissolution

8.1 Dissolution. The Company shall be dissolved upon the happening of any one of the following events:

(a) the death, retirement, resignation, expulsion, bankruptcy or dissolution of a Member or the occurrence of any other event which terminates the continued membership of a Member in the Company;

(b) the adjudicated incapacity of an individual Member;

(c) the Company's bankruptcy;

(d) the unanimous decision of the Members to dissolve the Company;

(e) the cessation to exist as a legal entity of the sole remaining Member;

(f) the sale or other disposition (including, without limitation, casualty loss or foreclosure) of all or substantially all of the Company's property, unless the company acquires an indebtedness or lease with respect to such disposition, in which event the Company shall dissolve upon its collection, distribution or sale of its entire interest in such indebtedness or lease;

(g) the dissolution of the Company pursuant to the Act, by operation of law, or by judicial decree; or

(h) the death, disability, retirement, resignation, expulsion, bankruptcy or insolvency of the Manager together with the inability of the Members to select a successor Manager.

8.2 Continuation of the Company. Notwithstanding the dissolution of the Company under Section 8.1 of this Operating Agreement, the Company may be reconstituted and the business of the Company may be continued if all the Members unaffected by the event of dissolution give their written consent to such continuation.

8.3 Winding Up. Subject to the Act, upon dissolution of the Company, the Manager(s) shall make full account of the Company's property and liabilities and shall commence to wind up the Company's affairs as promptly as is consistent with obtaining the fair market value of the Company's property, and the Company's property may be liquidated in the manner and to the extent and for such consideration as the Manager(s) shall determine. The Company's property or the proceeds thereof shall be distributed or applied as provided in Section 8.4 of this Operating Agreement.

8.4 Distributions in Liquidation. On the winding up of the Company, the Company's property or the proceeds thereof shall be distributed or applied, to extent sufficient, as follows:

(a) first, to the payment of all Company liabilities and the expenses of liquidation, including without limitation liabilities owed to Members and Transferees for expense reimbursements or pursuant to transactions intended to be or deemed to be between the Company and one who is not a Member;

(b) second, to the setting up of such reserves as the person required by law to wind up the Company's affairs may deem reasonably necessary for any contingent liabilities or obligations of the Company, provided that any such reserves shall be paid over by such person to an escrow agent (which may be such person), to be held by such agent or its successor for such period as such person shall deem advisable for the purpose of applying such reserves to the

payment of such liabilities or obligations and, at the expiration of such period, the balance of such reserves, if any, shall be distributed pursuant to subsections (c) and (d) of this Section 8.4; and

(c) third, to Members, former Members and transferees of Members in satisfaction of the Company's liability for distributions as herein provided; and

(d) fourth, the remainder, if any, shall be distributed to the Members pro rata in accordance with the balances in their Capital Accounts (after taking into account all adjustments thereto required by the provisions of Section 7.2 as a result of the operations of the Company during its final accounting period, as a result of the sale or other disposition of assets of the Company in connection with the winding up and liquidation of the Company and as a result of any unrealized gain or unrealized loss inherent in assets of the Company to be distributed in kind).

8.5 Allocation of Profits and Losses During Winding Up. During the winding up of the Company's affairs, the Members and Transferees shall continue to share profits and losses (including without limitation gains and losses on the disposition of Company property) in the same proportions as if the Company were not winding up its affairs.

ARTICLE 9

Special Provisions

9.1 Restriction Against Prohibited Transactions. Certain Members of the Company are Individual Retirement Accounts (IRAs) described in §408 or §408A of the Internal Revenue Code (the "IRC"), Coverdell Education Savings Accounts (ESAs) described in IRC §530, or Health Savings Accounts (HSAs) described in IRC §223, and therefore are considered a "plan" for purposes of IRC §4975. Notwithstanding any other provision of this Operating Agreement, the Manager(s) shall not enter into a transaction which, if done directly by any of the Members, would constitute a "prohibited transaction" with a "disqualified person" as defined in IRC §4975, or by any future amendment to that statute or any corresponding statute. Additionally, the Manager(s) shall not make any investment that violates any investment restrictions contained in IRC §408, §408A, §530 or §223 or by any future amendments to those statutes or any corresponding statutes.

9.2 Unrelated Business Taxable Income and Unrelated Debt Financed Income. Members understand and agree that Individual Retirement Accounts, Coverdell Education Savings Accounts and Health Savings Accounts are subject to income tax at the rate for trusts on unrelated business taxable income ("UBTI") and on Unrelated Debt Financed Income (UDFI), as described in IRC §511-514. The Company has elected to be classified as a pass-through entity for federal income tax purposes, and therefore, any unrelated business income or unrelated debt-financed income will flow through to the Members. The Manager(s) shall provide sufficient information to the Members to allow the Members to cause to be prepared IRS Form 990-T, Exempt Organizations Business Income Tax Return. To the extent permissible under Article 7.4, the Manager(s) shall distribute sums to the Members sufficient to pay the Member's tax liability on unrelated business income or unrelated debt-financed income generated by the Company.

9.3 Annual Valuations. The Manager(s) shall provide to the Members annually by January 15th the fair market value of each Member's interest in the Company as of December 31st

of the prior year. The Manager shall prepare or shall cause to be prepared the valuation using (i) at a comparable sales readily ascertainable, governmental valuations, other data, or other opinions of value from knowledgeable independent or disinterested parties, or (ii) utilizing, at a maximum, the services of a professional appraiser whose fee for services is approved by a majority of Members. This valuation shall be used to report the fair market value of each Member's interest in the Company to the Internal Revenue Service in accordance with IRS regulations and the retirements of the Custodians and/or Third-Party Administrator.

9.4 Manager(s) as Fiduciaries. Unless the Company is owned less than 25% by all benefit plan investors, including Individual Retirement Accounts, Coverdell Education Savings Accounts, and Health Savings Accounts, or unless the Company is considered an operating company under the federal plan asset regulations (29 C.F.R. §2510.3-101), the Manager(s) are likely to be considered fiduciaries of the investing Members. The Manager(s) are therefore prohibited from using their authority, control, or responsibility to cause the Company to pay an additional fee to a Manager (or to a person in which a Manager had an interest which may affect the exercise of the Manager's best judgment as a fiduciary) to provide a service, or to cause the Company to enter into a transaction involving Company or Member assets whereby the Manager (or a person in which the Manager has an interest which may affect the exercise of the Manager's best judgment as a fiduciary) will receive consideration from a third party in connection with such transaction.

9.5 Borrowing Money. The Manager(s) may enter into agreements for the Company to borrow money as necessary to acquire and/or make capital improvements to real estate owned by the Company, subject to the retirement of a vote of approval of Members holding the required percentage of Membership Units for "Major Decisions" (as defined in Section 5.2(b) of this Operating Agreement). However, no Member that is a member described in Section 9.1 may sign a guarantee of any indebtedness incurred by the Company nor may any "disqualified person" (as that term is defined in IRC §4975) guarantee any indebtedness of the Company or to the Company.

9.6 Required Minimum Distributions. The Members and their Account Holders (as that term is defined in Article 3.7 of this Operating Agreement) understand and agree that if an Account Holder is or will be subject to required minimum distributions from an IRA which is a Member before the Company is dissolved, the Account Holder must have other IRAs from which the Account Holder intends to take any required minimum distributions, or the Account Holder must leave sufficient cash in the Account Holder's IRA to cover any anticipated required minimum distributions. The timing of distributions from the Company is not guaranteed to be sufficient to meet Account Holder's required minimum distributions.

ARTICLE 10

Miscellaneous

10.1 Company Seal. The Company seal, if any, shall be in the form selected by the Manager(s). Said seal may be used by causing it or a facsimile thereof to be impressed or affixed in any manner reproduced.

10.2 Gender and Number. Whenever the context requires, the gender of all words used herein shall include the masculine, feminine and neuter, and the number of all words shall include the singular and plural thereof.

10.3 Articles and other Headings. The Articles and other headings contained in this Operating Agreement are for reference purposes only and shall not affect the meaning and interpretation.

10.4 Confidentiality. The conduct and operation of the Company as well as the relationship of the Company to its Members, clients, agents, and employees involving Company matters is private and confidential. Consistent with legal duties, under no circumstances are such matters to be discussed with third parties.

10.5 Binding. This Operating Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective heirs, executors, administrators, legal representatives, successors, and assigns.

10.6 Choice of Law and Venue. THE MEMBERS AGREE AND STIPULATE THAT THIS OPERATING AGREEMENT WILL BE GOVERNED AND CONSTRUED UNDER THE LAWS OF THE STATE OF NORTH CAROLINA, WITH VENUE IN THE COURTS OF WAKE COUNTY.

10.7 Invalid Provisions. If any provision of the Operating Agreement for any reason is held to violate any applicable law, rule or regulation, and such provision is held to be unenforceable, then the validity of such unenforceable provisions shall remain in full force and effect to the fullest extent possible without the unenforceable provision.

10.8 Complete Understanding. This Operating Agreement represents the full, entire, and complete understanding of the Members with respect to the operation of the Company. All other agreements, contracts, or understandings, whether oral or in writing, are completely merged into this Operating Agreement or are otherwise deemed to be null and void.

10.9 No Third-Party Beneficiary. This Operating Agreement is made solely and specifically among and for the benefit of the parties hereto and their respective successors and assigns subject to the express provisions hereof relating to successors and assigns, and no other person has or will have any rights, interest or claim hereunder or be entitled to any benefits under or on account of this Operating Agreement as a third-party beneficiary or otherwise.

10.10 Reliance on Authority of Person Signing Operating Agreement. In the event that a Member is not a natural person, neither the Company nor any Member will be required to determine the authority of the individual signing this Operating Agreement to make any commitment or undertaking on behalf of such entity or to determine any fact or circumstance bearing on the existence of the authority of the individual or be required to see to the application or distribution of proceeds paid or credited to individuals signing this Operating Agreement on behalf of the entity.

CERTIFICATION

THE UNDERSIGNED, being all of the Members and Manager(s) of the Company, hereby evidence their adoption and ratification of this Amended and Restated Operating Agreement for and on the behalf of themselves and the Company, effective June ____, 2025.

Heritage IRA, FBO Wesley Dale Browning HSA

By: _____, as an
authorized signer

Read and approved for investment by:

Wesley Dale Browning, Accountholder

Heritage IRA, FBO Wesley Dale Browning Roth
IRA # _____

By: _____, as an
authorized signer

Read and approved for investment by:

Wesley Dale Browning, Accountholder

Heritage IRA, FBO Jeanette W. Hollinger Roth
IRA # _____

By: _____, as an
authorized signer

Read and approved for investment by:

Jeanette W. Hollinger, Accountholder

EXHIBIT A

<u>Member Name, Address</u>	<u>Membership Units</u>
Heritage IRA, FBO Wesley Dale Browning HSA # _____ [Address] E-mail:	7.5 units
Heritage IRA, FBO Wesley Dale Browning Roth IRA # _____ [Address] E-mail:	37.5 units
Heritage IRA, FBO Jeanette W. Hollinger Roth IRA # _____ [Address] E-mail:	55 units
TOTAL:	100 units